

Our response to Task Force for Climate-Related Financial Disclosures (TCFD)

We have embraced the TCFD recommendations since 2018. For 2021 we have published a new Managing Climate Risks report, which covers our approach to risk, and provides our response to the TCFD recommendations. We have published this report on our website, www.hammerson.com, such that readers will be able to read it alongside our fuller Sustainability Report (also available in the same place). When read together, these two documents will provide a comprehensive overview of the Group's position on sustainability and climate change. The table below provides headline points in response to the TCFD recommendations and provides links to further information in our Managing Climate Risks Report, our 2021 Sustainability Report and our 2021 Annual Report and Accounts.

We have considered our 'comply or explain' obligation under the UK's Financial Conduct Authority's (FCA) Listing Rules, and confirm that we have made disclosures consistent with the TCFD Recommendation and Recommended Disclosures in our Managing Climate Risks Report. Table 17 below summarises our compliance in relation to the TCFD's eleven Recommended Disclosures and further detail can be found in our Managing Climate Risk Report. We will continue to refine our approach in line with the FCA's requirements.

In our assessment of the risks under the TCFD requirements, we did not identify any material financial impacts on either the 2021 financial position or income statements. Additionally, we did not identify any material impacts which would affect our going concern statement. We will continue to review the risks for new impacts each year as part of our standard sustainability governance.

Responding to the TCFD Reporting requirements

Table 17

	Requirement	Progress
1	Describe the Board's oversight of climate-related risks and opportunities.	The Board collectively has overall accountability for climate risk and wider sustainability matters which are also addressed by the Group Executive Committee (GEC). The GEC responsibility for climate-related risk resides with the Chief Financial Officer (CFO) who is responsible for delivering the strategy. Pages 50 to 61 of this report and Section 1 of our Managing our Climate Risks Report 2021.
2	Describe management's role in assessing and managing climate-related risks and opportunities.	Asset plans, risks and targets are monitored by the GEC. The Group Management Committee and the Group Investment Committee ensure that a sustainability culture is embedded in the Group's activities. The Director of Audit, Enterprise Risk and Sustainability connects operations with the management of climate change risk. Page 37 of this report and Section 1 of our Managing our Climate Risks Report 2021.
3	Describe the climate-related risks and opportunities the organisation has identified over the short, medium, and long-term.	The Group performed a series of steps in 2021 to assess and plan for climate change risks: 1. Identification of specific physical and transition risks; 2. Physical risk deep dive; and 3. Stranding risk. Page 40 of this report and Section 3 of our Managing our Climate Risks Report 2021.
4	Describe the impact of climate-related risks and opportunities on the organisation's businesses, strategy and financial planning.	A commitment to mitigate or manage climate risks which threaten strategic objectives underpins the Group's strategy. Following our work in 2021 to identify risks and opportunities we will enhance our sustainability strategy to mitigate the high risks and exploit any opportunities. Further enhancement of Group strategy, where necessary, will come from its detailed assessment of physical risk, which continues in 2022. Section 4 of our Managing our Climate Risks Report 2021.
5	Describe the resilience of the organisation's strategy, taking into consideration different climate-related scenarios, including a 2°C or lower scenario.	The Group has reviewed its climate risk for three separate scenarios - 1.5, 2 and 4°C increase, the first two of which are relevant to TCFD. For the first scenario (Steady Path to Sustainability), risks are assessed as materialising steadily through the 2020s with a generally slow onset, such that the Group can adapt its strategy accordingly. For the second scenario (Late Policy Action), risks are assessed as crystallising in quick succession in the early- to mid-2030s. Almost all the risks have a higher impact and likelihood under this scenario. Section 4 of our Managing Climate Risks Report 2021. Full climate change scenario report available on request.
6	Describe the organisation's processes for identifying and assessing climate-related risks.	The Group has an overall risk management framework for all operational, financial, reputational and regulatory risks, which allows the Board to identify, assess and manage the Group's key risks. Short, medium and long-term risks are also identified using our sustainability risk framework, taking into account economic, regulatory and scientific changes. Section 2 of our Managing Climate Risks Report 2021.

Requirement	Progress
7 Describe the organisation's process for managing climate-related risks.	The GEC and Board have oversight of climate-related risks. The Positive Places Operations and Development Working Groups (chaired by the Sustainability Team) feed into the Director of Audit, Enterprise Risk and Sustainability to ensure that the right mitigations are in place to manage those risks and that these are incorporated into annual asset business plans. Sections 2 and 5 of our Managing Climate Risks Report 2021.
8 Describe how processes for identifying, assessing, and managing climate-related risks are integrated into the organisation's overall risk management.	Our climate-related risks are fed into the Group's Risk Framework, and our response is managed by our senior-level Governance structure for climate-related risks. More work needs to be done in this area to formalise the overall risk management framework. Page 37 of this report and in Sections 1 and 2 of our Managing Climate Risks Report 2021.
9 Disclose the metrics used by the organisation to assess climate-related risks and opportunities in line with its strategy and risk management.	The Group uses a range of metrics to assess exposure to short-term climate related risks and opportunities including energy consumption in kWh and Scope 1, 2, and 3 carbon emissions. The Group plans to enhance metrics and targets for risks and opportunities identified in 2022. Section 4 of our Managing Climate Risks Report 2021.
10 Disclose Scope 1, Scope 2, and, if appropriate, Scope 3 greenhouse gas (GHG) emissions, and the related risks.	We report extensively on our Scope 1, 2 and 3 emissions. Pages 173 of this report and our separate Sustainability Data Book 2021.
11 Describe the targets used by the organisation to manage climate-related risks and opportunities and performance against targets.	Each year we set annual, like-for like and absolute targets for the business, shaped by medium and long-term goals. Sustainability Report 2021 - Section 1.4 Performance against 2021 targets and Section 1.6 Our short, medium and long-term targets.

Financial review



Himanshu Raja
Chief Financial Officer

Overview

Our financial focus for 2021 has been on strengthening the balance sheet to put in place a sustainable and resilient capital structure. At the beginning of the year, we embarked on a strategic and organisational review that set out a new strategy, and that has been underpinned by improved financial management disciplines in leasing, collections, reporting and performance management, and reducing our operating costs.

We contracted disposals of £503 million during the year, with a further £120 million of gross proceeds already received in 2022. Financing activities included the issuance of a €700 million 1.75% sustainability-linked bond maturing in 2027, the buyback of €765 million bonds maturing in 2022 and 2023, the buyback of £297 million private placement notes, and the refinancing of a €415 million Revolving Credit Facility by way of £200 million of new facilities.

Whilst our results continue to be impacted by the pandemic, with an IFRS loss of £429 million, this has been considerably less severe than the initial shock of Covid-19 in 2020 where the IFRS loss was £1,735 million. Adjusted earnings for the year were £80.9 million, compared to £36.5 million in the prior year. The broader economic recovery has facilitated the agreement of rent concessions and collection of arrears, albeit the continuing Government restrictions on landlords' ability to enforce payment has contributed to trade receivables remaining higher than pre-pandemic levels.

On 4 February 2022, Moody's re-affirmed the Group's Baa3 rating as well as changing the outlook to stable from negative. Moody's cited the following reasons for the change: the recovery in operating performance; recovering investment markets for retail reducing the likelihood of further significant valuation declines; the ongoing asset disposal plans that will aid further deleveraging; and the progress made in managing the balance sheet including accessing debt markets and refinancing upcoming debt maturities.

Revaluation losses for the year totalled £470 million, principally across our managed portfolio where the revaluation loss was £458 million. Approximately three quarters of the movement was recognised in the first half of the year, with values showing encouraging signs of stabilising in the second half of the year.

Our investment in Value Retail has remained resilient, contributing £15.9 million to adjusted earnings, driven by increased sales following the easing of Covid-19 restrictions, and the expansion of their virtual platform. Values have remained broadly unchanged.

IFRS loss for the year

£(429)m

(2020: £(1,735)m loss)

Adjusted earnings

£80.9m

(2020: £36.5m)

Net debt

£1,819m

(2020: £2,234m)

Shareholders' funds

£2,746m

(2020: £3,209m)

EPRA NTA per share¹

64p

(2020: 82p)

Gearing

67%

(2020: 70%)

1. See note 12D to the financial statements for calculation.

Presentation of financial information

Our property portfolio comprises properties that are either wholly owned or co-owned with third parties. Whilst the financial statements are prepared under IFRS, management reviews the results of the Group on a proportionally consolidated basis, accounting for our interests in joint ventures and associates on a line-by-line basis. The only exception to this relates to our investments in premium outlets, Value Retail and VIA Outlets (up to the date of its disposal in October 2020). As these are externally managed, independently financed and have differing operating metrics to the Group's managed portfolio, they are excluded from the proportional consolidation and consolidation of key metrics such as net debt or passing rent. However, for a number of the Group's Alternative Performance Measures (APMs), for enhanced transparency, we do disclose metrics combining all the Group's property interests. These include property valuations and returns and certain credit metrics.

This approach results in us splitting out property interests between our 'managed portfolio', being those properties we proportionally consolidate, and those owned by Value Retail and VIA Outlets prior to its disposal in 2020.

The information presented in this Financial review is derived from the Group's financial statements, prepared under IFRS. Within this Financial review, the Group financial statements and the Additional disclosures, properties which are wholly owned or where the Group's share is in a joint operation are defined as being held by the 'Reported Group', whilst those in joint ventures and associates are defined as 'Share of Property interests'.

As detailed in note 10 to the financial statements, during the first half of 2021, we completed the sale of eight retail parks. As this formed substantially all of an identifiable segment of the business, the results from 'UK retail parks' for the current and comparative periods have been disclosed separately from the rest of the business as discontinued operations. However, for the purposes of the Financial review, proportionally consolidated figures include the results from the UK retail parks up to the date of their disposal.

Table 18 details the classification of the portfolio and accounting treatment thereof, both under IFRS and management reporting bases.

Ten-year financial summary

	2021 ¹ £m	2020 ¹ £m	2019 £m	2018 £m	2017 £m	2016 £m	2015 ¹ £m	2014 ¹ £m	2013 £m	2012 £m
Income statement										
Net rental income	197.9	157.6	308.5	347.5	370.4	346.5	318.6	305.6	290.2	282.9
Operating profit before other net (losses)/gains	137.9	113.5	260.2	302.8	321.5	300.4	276.3	259.1	247.9	239.6
Other net (losses)/gains	(470.1)	(1,503.8)	(1,197.9)	(517.9)	27.1	(36.1)	381.0	430.3	102.0	(7.3)
Share of results of joint ventures	–	(20.7)	34.3	24.6	13.6	20.7	13.1	(1.1)	–	–
Share of results of associates	20.0	(135.8)	210.6	56.8	221.6	135.2	159.3	109.9	101.5	47.5
Impairment of investments in joint ventures and associates	(11.5)	(103.9)	–	–	–	–	–	–	–	–
Net cost of finance	(103.6)	(83.6)	(86.2)	(132.9)	(170.4)	(96.6)	(98.1)	(95.1)	(110.2)	(137.6)
(Loss)/Profit before tax	(427.3)	(1,734.3)	(779.0)	(266.6)	413.4	323.6	731.6	703.1	341.2	142.2
Current tax	(1.8)	(0.6)	(2.2)	(1.9)	(1.8)	(2.7)	(1.6)	(0.9)	(0.8)	(0.4)
Deferred tax	–	–	–	–	–	–	–	(0.1)	0.1	–
Non-controlling interests	–	0.1	–	0.4	(23.2)	(3.6)	(3.2)	(3.0)	(3.1)	(3.4)
(Loss)/Profit for the year attributable to equity shareholders	(429.1)	(1,734.8)	(781.2)	(268.1)	388.4	317.3	726.8	699.1	337.4	138.4
Balance sheet										
Investment and development properties	3,375.3	4,413.8	5,667.7	7,479.5	8,326.3	8,281.7	7,130.5	6,706.5	5,931.2	5,458.4
Investment in joint ventures	–	–	379.0	326.3	361.3	222.0	110.8	104.2	–	–
Investment in associates	1,140.8	1,154.1	1,355.3	1,211.1	1,068.6	959.1	743.8	628.8	545.4	428.4
Cash and short-term deposits	429.4	503.0	97.4	102.4	265.8	130.5	70.5	59.4	56.7	57.1
Borrowings ²	(2,253.2)	(2,743.0)	(2,939.9)	(3,508.1)	(3,776.3)	(3,543.0)	(3,068.3)	(2,329.3)	(2,309.0)	(2,038.1)
Other assets	424.9	338.7	275.8	280.4	264.2	339.9	1,025.0	268.6	271.2	462.3
Other liabilities	(370.7)	(457.1)	(457.6)	(458.2)	(481.9)	(532.7)	(425.5)	(392.6)	(358.5)	(441.9)
Deferred tax	(0.5)	(0.5)	(0.5)	(0.5)	(0.5)	(0.5)	(0.5)	(0.5)	(0.4)	(0.5)
Non-controlling interests	–	(0.1)	(0.2)	(0.3)	(14.0)	(81.4)	(69.0)	(71.4)	(76.7)	(74.5)
Equity shareholders' funds	2,746.0	3,208.9	4,377.0	5,432.6	6,023.5	5,775.6	5,517.3	4,973.7	4,059.9	3,851.2
Cash flow										
Operating cash flow after tax	(70.3)	(79.5)	167.1	114.5	139.3	179.9	171.2	128.1	129.4	139.9
Dividends	(24.9)	(13.4)	(198.9)	(204.1)	(191.7)	(135.7)	(163.8)	(139.1)	(129.4)	(118.4)
Property and corporate acquisitions	–	(0.2)	(0.7)	(12.0)	(122.5)	(499.7)	(43.7)	(302.7)	(191.1)	(397.3)
Capital expenditure additions	(76.9)	(68.1)	(79.9)	(149.6)	(113.4)	(182.4)	(182.3)	(203.8)	(201.9)	(170.9)
Disposals	425.1	325.5	536.1	553.2	490.8	639.0	185.2	155.4	256.3	585.0
Investments in joint ventures	(14.0)	(13.1)	(58.1)	114.2	53.2	(155.0)	(735.6)	(118.9)	–	–
Other cash flows	2.1	6.1	29.2	(71.0)	111.9	87.9	(14.0)	12.4	(30.8)	(72.4)
Net cash flow before financing	241.1	157.3	394.8	345.2	367.6	(66.0)	(783.0)	(468.6)	(167.5)	(34.1)
Per share data³										
Basic (loss)/earnings per share	(9.8)p	(62.4)p	(46.6)p	(15.6)p	22.4p	18.3p	42.4p	43.7p	21.6p	8.9p
Adjusted earnings per share	1.8p	1.3p	12.8p	14.0p	14.2p	13.3p	12.3p	10.9p	10.5p	9.5p
Dividend per share	0.4p	0.4p	5.1p	11.8p	11.6p	11.0p	10.2p	9.3p	8.7p	8.1p
Net tangible asset value per share (NTA) ⁴	£0.64	£0.82	£1.16	£1.48	£1.55	£1.48	£1.42	£1.28	£1.15	£1.08
Financial ratios										
Gearing	67%	70%	71%	63%	58%	59%	54%	46%	56%	53%
Interest cover	2.5x	1.8x	3.5x	3.4x	3.4x	3.5x	3.6x	2.8x	2.8x	2.8x
Dividend cover	0.5x	0.5x	1.1x	1.2x	1.2x	1.2x	1.2x	1.2x	1.2x	1.2x

1. Comprises continuing and discontinued operations.

2. Borrowings comprises loans and currency swaps. In 2021, £44.1 million (2020: £15.7 million, 2019: £31.7 million, 2018: £25.9 million) of currency swaps were included in 'other assets'. For the purposes of this summary, these have been reclassified to 'borrowings'.

3. Comparative per share data has been restated following the rights issue in September 2020. 2020 earnings per share metrics have been restated in respect of the bonus element of scrip dividends.

4. NTA has replaced EPRA net asset value per share (NAV), from 1 January 2020. For the purposes of the summary above, years 2012 to 2018 are shown on a NAV basis and years 2019 to 2021 are shown on an NTA basis, consistent with the disclosures in note 12D.

The Income statement, Balance sheet and Financial ratios for 2014 to 2021 have been presented on a proportionally consolidated basis, excluding the Group's investment in Premium outlets. Cash flow information has been presented on an IFRS basis throughout.

Reporting period and methodology

In line with requirements set out in the Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013, this statement reports the Company's GHG emissions for the reporting period 1 January 2021 to 31 December 2021. Our GHG emissions reporting period is the same as the financial reporting year, in accordance with the DEFRA Environmental Reporting Guidance. The data has been calculated and recorded in accordance with the Greenhouse Gas (GHG) Protocol and ISO 14064. This guidance codifies using both market and location-based methods for scope 2 accounting, the methodology applied is explained further in our appendix document, Sustainability Basis of Reporting 2021.

Streamlined Energy and Carbon Reporting

The carbon emissions and energy consumption is reported in accordance with the requirements of the Streamlined Energy and Carbon Reporting (SECR). We have included the previous year's data to provide a year-on-year comparison.

Independent assurance

Total Scope 1, Scope 2, Scope 3, and Total GHG emissions intensity data have been independently assured by Deloitte LLP who have carried out limited assurance in accordance with the International Standards on Assurance Engagements 3000. Their assurance statement is available in the Sustainability Report 2021.

Reporting boundaries

We have adopted operational control as our reporting approach. GHG emissions data is provided for those assets where we have authority to introduce and implement operating policies.

This includes properties held in joint ventures where JV Board approval is required. We have reported 100% of GHG emissions data for these reported assets. It excludes the Value Retail portfolio where we do not have authority to introduce or implement operating policies. A detailed basis of reporting statement and full list of operating entities and assets included within the reporting boundary can be found on our website www.hammerson.com.

Table 100

Basis of reporting

Baseline year	2015
Boundary summary	All assets and facilities under Hammerson's direct operational control are included.
Consistency with financial statements	Consistency with the financial statements and reporting period are set out above.
Emissions factor data source	We have sourced our emissions factors from 2021 DEFRA GHG Conversion Factors for Company Reporting, and additional sources including, but not limited, to International Energy Agency and Engie.
Assessment methodology	GHG Protocol and ISO 14064 (2006).
Materiality threshold	Activities generating emissions of <5% relative to total Group emissions have been excluded.
Intensity ratio	Denominator is common parts area for the year ended 31 December 2021 of 455,097 sqm. In previous years, the denominator used was adjusted profit before tax, however, following the disposal of substantially all of the remaining UK retail parks, common parts area has been determined as a more relevant metric.
Target	15% reduction in carbon emissions intensity by 2021 against 2019 baseline using the location-based approach.

Table 101

Emissions disaggregated by country (tCO₂e)

Source	2020				2021				Global intensity (kgCO ₂ e/sqm)
	Global	UK	France	Ireland	Global	UK	France	Ireland	
Total GHG emissions metric tonnes (mt)¹	7,465	3,782	3,015	668	8,835	5,029	3,458	348	19
Total GHG emissions metric tonnes (mt)	17,845	10,628	3,296	3,921	18,195	11,862	3,367	2,966	40
Scope 1: Direct emissions from owned/controlled operations									
a. Stationary operations	3,295	1,786	1,026	483	3,436	2,317	872	247	8
b. Mobile combustion	14	3	11	0	3	0	3	0	0
c. Fugitive sources	0	0	0	0	854	854	0	0	2
Totals	3,309	1,789	1,037	483	4,293	3,171	875	247	10
Scope 2: Indirect emissions from the use of purchased electricity, steam, heating and cooling									
a. Electricity ¹	2,400	1,358	1,019	23	2,221	1,076	1,132	13	5
a. Electricity	12,780	8,204	1,300	3,276	11,581	7,908	1,041	2,631	26
b. Steam	0	0	0	0	0	0	0	0	0
c. Heating	916	165	751	0	1,531	257	1,274	0	3
d. Cooling	15	15	0	0	98	49	49	0	0
Totals¹	3,331	1,538	1,770	23	3,850	1,382	2,455	13	8
Totals	13,711	8,384	2,051	3,276	13,210	8,215	2,364	2,631	29
Scope 3: Other indirect emissions									
Business travel	200	92	50	58	66	43	21	2	0
Waste	381	240	85	56	511	369	78	64	1
Water	244	123	73	48	115	64	29	22	0
Totals	825	455	208	162	692	476	128	88	1
SECR Energy Consumption (MWh)	94,067	46,708	34,852	12,507	95,364	52,406	32,701	10,257	

1. Emissions using Market Based Method.

Shareholder information

Registered office and principal UK address

Hammerson plc, Kings Place, 90 York Way, London, N1 9GE
Registered in England No. 360632
+44 (0)20 7887 1000

Principal address in France

Hammerson France SAS, 40-48 rue Cambon, 75001, Paris
+33 (0)156 69 30 00

Principal address in Ireland

Hammerson Group Management Limited, Building 10, Pembroke District, Dundrum Town Centre, Dundrum, Dublin D16 A6P2

Advisers

Valuers: CBRE Limited, Cushman and Wakefield LLP and Jones Lang LaSalle Limited
Auditor: PricewaterhouseCoopers LLP
Solicitor: Herbert Smith Freehills LLP
Joint Brokers and Financial Advisers: Barclays Bank plc and Morgan Stanley & Co. International plc
Financial Adviser: Lazard Ltd
Johannesburg Stock Exchange Equity Sponsor: Investec Bank Limited
Euronext Dublin Equity Sponsor: Goodbody Stockbrokers UC

Primary and secondary listings

The Company has its primary listing on the London Stock Exchange and secondary inward listings on the Johannesburg Stock Exchange and on Euronext Dublin.

Shareholder administration

For assistance with queries about the administration of shareholdings, such as lost share certificates, change of address, change of ownership or dividend payments, please contact the relevant Registrar or Transfer Secretaries.

UK Registrar

Link Group, 10th Floor, Central Square, 29 Wellington Street, Leeds, LS1 4DL

shareholderenquiries@linkgroup.co.uk
www.signalshares.com
+44 (0)371 664 0300

Calls are charged at the standard geographic rate and will vary by provider. Calls outside the United Kingdom will be charged at the applicable international rate. Lines are open between 09:00 - 17:30, Monday to Friday excluding public holidays in England and Wales.

South African Transfer Secretaries

Computershare Investor Services Proprietary Limited, Rosebank Towers, 15 Biermann Avenue, Rosebank 2196, South Africa or Private Bag X9000, Saxonwold, 2132, South Africa

0861 100 933 (local in South Africa)
web.queries@computershare.co.za

Annual General Meeting

The Annual General Meeting will be held at 11.00 am (UK time) on 28 April 2022. Details of the Annual General Meeting and the resolutions to be voted upon can be found in the Notice of Meeting which is available on our website at www.hammerson.com.

Payment of dividends

UK shareholders who do not currently have their dividends paid direct to a bank or building society account and who wish to do so should complete a mandate instruction available from the Registrar or register their mandate at www.signalshares.com. Shareholders outside the UK can have any dividends in excess of £10 paid into their bank account directly via the Link Group international payments service. Details and terms and conditions may be viewed at ww2.linkgroup.eu/ips.

Distributable reserves

As at 31 December 2021, the Company had distributable reserves of £360 million (2020: £523 million).

In 2021, dividends amounting to £13.0 million (2020: £24.4 million) were recognised through distributable reserves.

Dividend Reinvestment Plan (DRIP)

Shareholders may from time to time be able to elect to reinvest dividend payments in additional shares in the Company under the DRIP operated by the Registrar.

As the Company is offering an enhanced scrip dividend alternative for the final dividend for the year ended 31 December 2021, the DRIP is currently suspended.

Participation in the DRIP does not confer automatic participation in the enhanced scrip dividend alternative. Participants in the DRIP who wish to receive the enhanced scrip dividend alternative will need to elect to participate using the appropriate election process set out in the circular relating to the enhanced scrip dividend alternative published by the Company on or around the date of this Report.

ShareGift

Shareholders with a small number of shares, the value of which makes it uneconomic to sell them, may wish to consider donating them to charity through ShareGift, a registered charity (registered charity no: 1052686). Further information about ShareGift is available at www.sharegift.org, by email at help@sharegift.org, by calling on +44 (0)207 930 3737 or by writing to ShareGift, PO Box 72253, London, SW1P 9LQ. To donate shares, please contact ShareGift.

Strate Charity Shares

South African shareholders for whom the cost of selling their shares would exceed the market value of such shares may wish to consider donating them to charity. An independent non-profit organisation called Strate Charity Shares has been established to administer this process. For further details or donations contact the Strate Charity Shares' toll-free helpline on 0800 202 363 (if calling from South Africa) or +27 11 870 8207 (if calling from outside South Africa), email charityshares@computershare.co.za, or visit www.strate.co.za.

Shareholder security

Share fraud includes scams where fraudsters cold-call investors offering them overpriced, worthless or non-existent shares, or offer to buy shares owned by investors at an inflated price. We advise shareholders to be vigilant of unsolicited mail or telephone calls regarding buying or selling shares. For more information visit www.fca.org.uk/scams or call the FCA Consumer Helpline on +44(0)800 111 6768. This is a freephone number from the UK. Lines are open Monday to Friday, 8:00am to 6:00pm and Saturday, 9:00am to 1:00pm.

Unsolicited mail

Hammerson is obliged by law to make its share register available on request to other organisations. This may result in shareholders receiving unsolicited mail. To limit the receipt of unsolicited mail UK shareholders may register with the Mailing Preference Service, an independent organisation whose services are free, by visiting www.mpsonline.org.uk. Once a shareholder's name and address details have been registered, the Mailing Preference Service will advise companies and other bodies that subscribe to the service not to send unsolicited mail to the address registered.

Interest cover	Gross rental income less rents payable and property outgoings, divided by net cost of finance before exceptional finance costs, capitalised interest and change in fair value of derivatives calculated as per covenants in the Group's unsecured facilities and private placements
Interest rate or currency swap (or derivatives)	An agreement with another party to exchange an interest or currency rate obligation for a pre-determined period
Joint venture and associate management fees	Fees charged to joint ventures and associates for accounting, secretarial, asset and development management services
Leasing activity	The total headline rent secured from new leases and renewals during the period
Leasing vs ERV	A comparison of net effective rent from new leases and renewals to the ERV at the most recent balance sheet date
Leasing vs passing rent	A comparison of headline rent from new leases and renewals to the passing rent at the most recent balance sheet date
Like-for-like (LFL) NRI	The percentage change in net rental income for flagship properties owned throughout both current and prior periods, calculated on a constant currency basis. Properties undergoing a significant extension project are excluded from this calculation during the period of the works. For interim reporting periods properties sold between the balance sheet date and the date of the announcement are also excluded from this metric
Loan to value (LTV)	Net debt expressed as a percentage of property portfolio value. The Group has two measures of LTV: 'Headline' and 'Fully proportionally consolidated' (FPC). The former compares the Group's net debt to the Group's managed portfolio value plus net investment in Value Retail, while the latter incorporates the Group's share of Value Retail's net debt and property values. See Table 97 on page 169 for details of the calculation
MSCI	Property market benchmark indices produced by MSCI, rebranded from IPD in 2018
Net effective rent (NER)	The annual rent from a unit calculated as the total rent payable, net of inclusive costs, over the lease term to the earliest occupier termination date after deducting all tenant incentives
Net rental income (NRI)	Gross rental income less head and equity rents payable, property outgoings, and changes in amounts not yet recognised in the income statement. The latter balance is excluded when calculating "adjusted" NRI
Net tangible assets (NTA) per share	An EPRA net asset per share measure calculated as equity shareholders' funds with adjustments made for the fair values of certain financial derivatives, deferred tax and goodwill balances, divided by the diluted number of shares in issue at the balance sheet date as set out in note 12D to the financial statements on page 125
Occupancy rate	The ERV of the area in a property or portfolio, excluding developments, which is let, expressed as a percentage of the total ERV, excluding the ERV for car parks, of that property or portfolio
Occupational cost ratio (OCR)	The proportion of retailer's sales compared with the total cost of occupation, including rent, local taxes (i.e. business rates) and service charge. Calculated excluding department stores
Over-rented	The amount, or percentage, by which the ERV falls short of rents passing, together with the ERV of vacant space.
Passing rents or rents passing	The annual rental income receivable from an investment property, after: rent-free periods; head and equity rents; car park costs; and commercialisation costs. This may be more or less than the ERV (see over-rented and reversionary or under-rented)
Pre-let	A lease signed with a tenant prior to the completion of a development or other major project
Principal lease	A lease signed with a tenant with a secure term of greater than one year
Property fee income	Amounts recharged to tenants or co-owners for property management services
Property Income Distribution (PID)	A dividend, generally subject to withholding tax, that a UK REIT is required to pay from its tax-exempt property rental business and which is taxable for UK-resident shareholders at their marginal tax rate
Property interests (Share of)	The Group's non-wholly owned properties which management proportionally consolidate when reviewing the performance of the business. These exclude the Group's premium outlets interests which are not proportionally consolidated
Property joint ventures (Share of)	The Group's joint ventures which management proportionally consolidate when reviewing the performance of the business, but excluding the Group's interests in the VIA Outlets joint venture, which was sold in 2020
Property outgoings	The direct operational costs and expenses incurred by the landlord relating to property ownership and management. This typically comprises void costs, net service charge expenses, letting related costs, marketing expenditure, repairs and maintenance, tenant incentive impairment, bad debt expense relating to items recognised in the income statement and other direct irrecoverable property expenses. These costs are included within the Group's calculation of like-for-like NRI and the cost ratio

Proportional consolidation	The aggregation of the financial results of the Reported Group and the Group's share of Property interests being the Group's share of Property joint ventures as shown in note 14, and Italie Deux as shown in note 15
QIAIF	Qualifying Investor Alternative Investment Fund. A regulated tax regime in the Republic of Ireland which exempts participants from Irish tax on property income and chargeable gains subject to certain requirements
REIT	Real Estate Investment Trust. A tax regime which in the UK exempts participants from corporation tax both on UK rental income and gains arising on UK investment property sales, subject to certain requirements
Rent collection	Rent collected as a percentage of rent due for a particular period after taking account of any rent concessions granted for the relevant period
Reported Group	The financial results as presented under IFRS which represent the Group's 100% owned properties and share of joint operations, transactions and balances and equity accounted Group's interests in joint ventures and associates
Restricted Share Scheme (RSS)	A long term incentive scheme for Executive Directors launched in 2020 to replace the LTIP scheme
Reversionary or under-rented	The amount, or percentage, by which the ERV exceeds the rents passing, together with the estimated rental value of vacant space
RIDDOR	A health and safety reporting obligation to report deaths, injuries, diseases and 'dangerous occurrences' at work, including near misses, under the Reporting of Injuries, Diseases and Dangerous Occurrences Regulations 2013
Scope 1 emissions	Direct emissions from owned or controlled sources
Scope 2 emissions	Indirect emissions from the generation of purchased energy
Scope 3 emissions	All indirect emissions (not included in scope 2) that occur in the value chain of the reporting company, including both upstream and downstream emissions
SIIC	Sociétés d'Investissements Immobiliers Côtées. A tax regime in France which exempts participants from the French tax on property income and gains subject to certain requirements
Task Force for Climate-related Financial Disclosures (TCFD)	An organisation established with the goal of developing a set of voluntary climate-related financial risk disclosures to be adopted by companies to inform investors and the public about the risks they face relating to climate change
Tenant restructuring	CVAs and administrations
Temporary lease	A lease with a period of one year or less measured to the earlier of lease expiry or tenant break
Total accounting return (TAR)	The growth in EPRA NTA per share plus dividends paid, expressed as a percentage of EPRA NTA per share at the beginning of the period. For 2021 the return excludes the dilution impact from scrip dividends
Total development cost	All capital expenditure on a development or other major project, including capitalised interest
Total property return (TPR) (or total return)	NRI, excluding the change in provision for amounts not yet recognised in the income statement, and capital growth expressed as a percentage of the opening book value of property adjusted for capital expenditure, calculated on a monthly time-weighted and constant currency basis
Total shareholder return (TSR)	Dividends and capital growth in a Company's share price, expressed as a percentage of the share price at the beginning of the year
Transitional risk	Business risk posed by regulatory and policy changes implemented to tackle climate change
Turnover rent	Rental income which is related to an occupier's turnover
Vacancy rate	The ERV of the area in a property, or portfolio, excluding developments, which is currently available for letting, expressed as a percentage of the ERV, excluding the ERV of car parks, of that property or portfolio
Yield on cost	Passing rents expressed as a percentage of the total development cost of a property



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